



Role of Financial Markets and Institutions

Team Teaching Financial Markets and Institutions



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1. Role of Financial Markets (1-1)
2. Securities Traded in Financial Markets (1-2)
3. Role of Financial Institutions (1-3)
4. Systemic Risk among Financial Institutions (1-4)

Overview of Financial Markets

Financial Market is a market in which financial assets (securities) such as stocks and bonds can be purchased or sold

- Financial markets provide for financial intermediation - financial savings (Surplus Units) to investment (Deficit Units)
- Financial markets provide payments system
- Financial markets provide means to manage risk



The background of the slide is a grayscale photograph of modern architectural structures. On the left, a portion of a white building with rectangular windows is visible. On the right, a taller building with a curved facade and large glass panels is shown, with some palm trees in the foreground. A solid dark blue vertical band runs down the center of the image, serving as a backdrop for the text.

01

Role of Financial Markets



Financial Markets: Facilitating Fund Flows



Transfer of Funds

Financial markets enable the transfer of funds from parties with excess funds to those who need funds.



Financing and Investing

They allow for financing and investing by households, firms, and government agencies.



Return on Investment

Surplus units supply funds to financial markets to earn a return on their investment.

Surplus and Deficit Units

Surplus Units

Participants who receive more money than they spend, providing net savings to financial markets.

Deficit Units

Participants who spend more money than they receive, accessing funds from financial markets to cover their deficit.



Securities in Financial Markets



Debt Securities

Represent borrowed funds, providing periodic interest payments and principal repayment at maturity.



Equity Securities

Represent ownership in a firm, often preferred by businesses unable to make periodic interest payments.

Corporate Finance and Investment Management

1

Corporate Finance

Involves decisions on how much funding to obtain and which types of securities to issue.

2

Financial Markets

Serve as the mechanism for corporations to obtain funds from investors.

3

Investment Management

Involves decisions by investors on how to invest their funds in various securities.





Accommodating Corporate Finance Needs

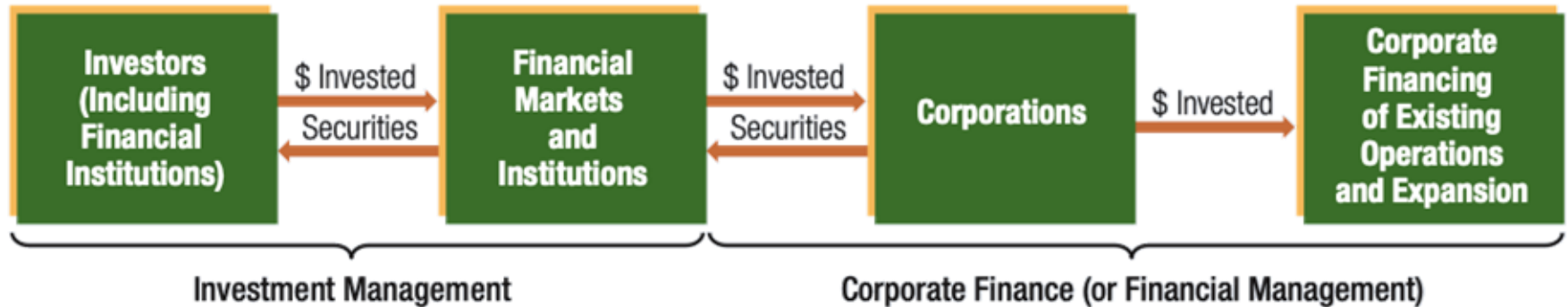
The financial markets serves as the mechanism whereby corporations (acting as deficit units) can obtain funds from investors (acting as surplus units).



Accommodating Investment Needs

Financial institutions serve as intermediaries to connect the investment management activity with the corporate finance activity.

Exhibit 1.1 How Financial Markets Facilitate Corporate Finance and Investment Management



Primary vs Secondary Markets

Primary Markets

Facilitate the issuance of new securities, allowing corporations to obtain new funds and investors to make initial investments.

Secondary Markets

Facilitate the trading of existing securities, allowing investors to change their investments by selling and buying securities.



Liquidity in Financial Markets

Liquidity refers to the degree to which securities can be easily liquidated without a loss of value. An active secondary market provides liquidity, allowing investors to sell securities before maturity.



Importance

Highly liquid securities are preferred by investors for flexibility in selling.



Long-term Securities

Liquidity is especially desirable for long-term debt securities.



Treasury Securities

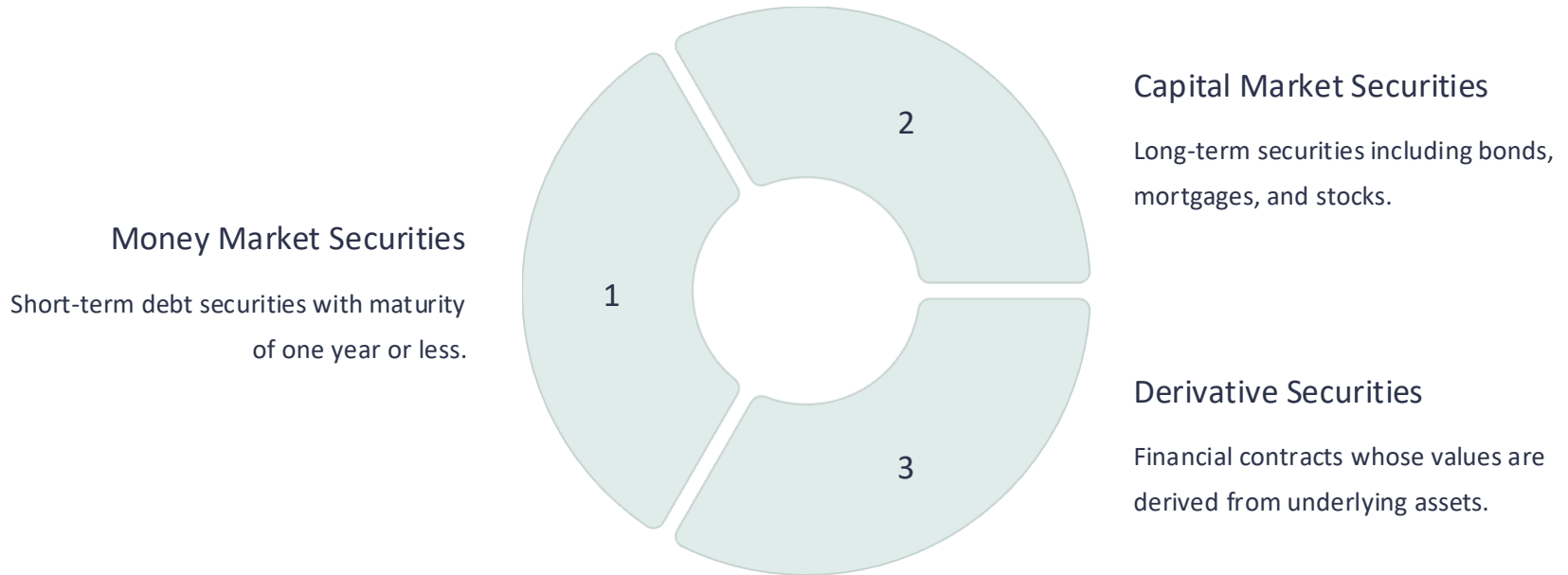
Known for high liquidity due to frequent issuance and high investor demand.

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02

Securities Traded in Financial Markets

Types of Securities





Money Market Securities

Money market securities are short-term debt instruments with high liquidity and low credit risk. They play a crucial role in providing short-term funding for various entities.



Treasury Bills

Issued by the U.S. Treasury.



Commercial Paper

Issued by corporations.



Negotiable Certificates of Deposit

Issued by depository institutions.



Capital Market Securities: Bonds

Bonds are long-term debt securities issued by various entities to finance their operations. They provide periodic interest payments and principal repayment at maturity.



Treasury Bonds

Perceived as free from default risk.



Corporate Bonds

Subject to default risk, offer higher returns.



Maturity

Commonly have maturities between 10 and 20 years.

Capital Market Securities: Mortgages

Residential Mortgages

Long-term debt obligations created to finance home purchases. Financial institutions assess borrower creditworthiness before granting mortgages.

Commercial Mortgages

Long-term debt obligations for financing commercial property purchases. Used by real estate developers for projects like shopping centers and office buildings.

Mortgage-Backed Securities

Mortgage-backed securities are debt obligations representing claims on a package of mortgages. They allow investors to indirectly invest in mortgages and receive payments based on the underlying mortgage payments.

Mortgage Origination

Banks originate mortgages for homebuyers.

Securitization

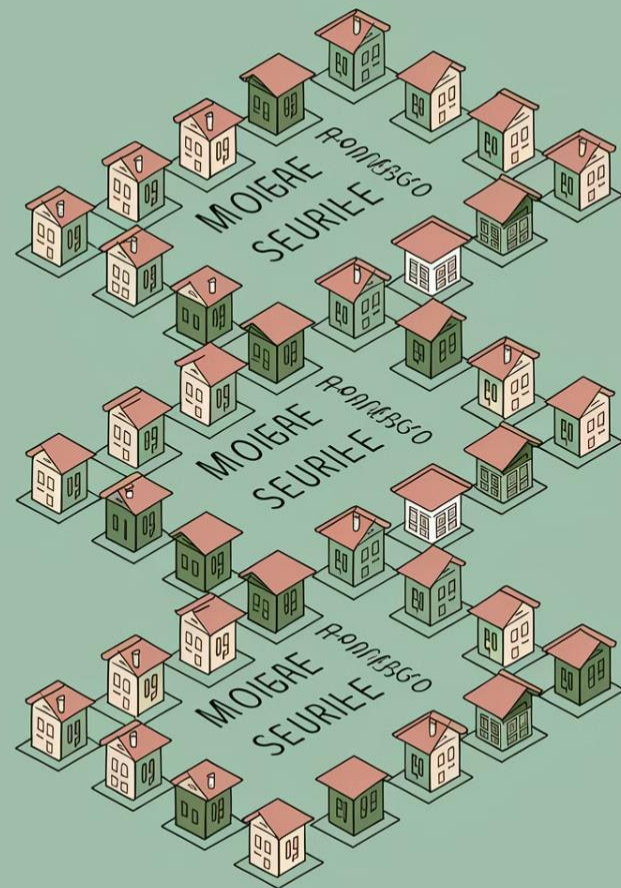
Mortgages are bundled into securities.

Investment

Investors purchase mortgage-backed securities.

Payment Flow

Mortgage payments flow to security holders.



Capital Market Securities: Stocks

Stocks, or equity securities, represent partial ownership in corporations. They serve as a long-term source of funds for companies and offer potential returns to investors through dividends and capital gains.



Ownership

Represent partial ownership in corporations.



Returns

Potential for dividends and capital gains.



Liquidity

Varies based on company size and trading volume.

Derivative Securities

Derivative securities are financial contracts whose values are derived from underlying assets. They play important roles in speculation and risk management.

Speculation

Allow investors to speculate on asset value movements without owning the assets.

Risk Management

Used to reduce exposure to potential declines in asset values.

Valuation of Securities

The valuation of a security is measured as the present value of its expected cash flows, discounted at a rate reflecting the uncertainty of those cash flows.

Debt Securities

Easier to value due to specific promised payments.

Stocks

More difficult to value due to uncertain future cash flows.

Financial Statements

Investors rely on financial reports to estimate future cash flows.



Impact of Information on Valuation

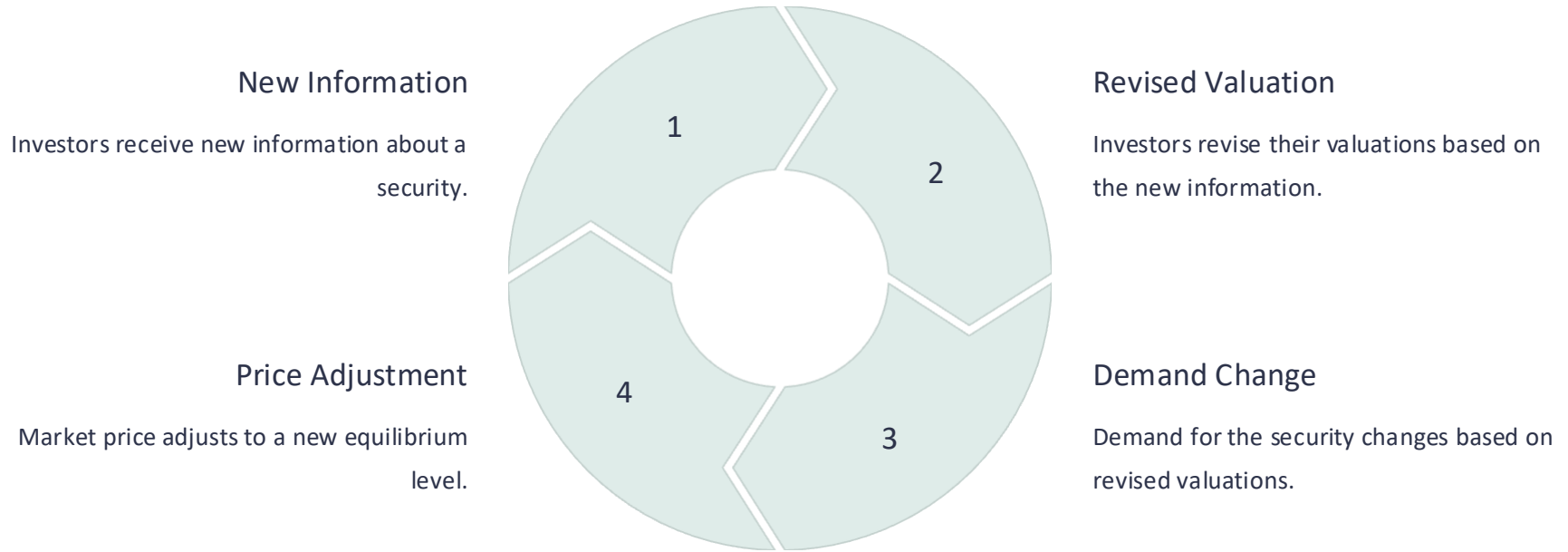
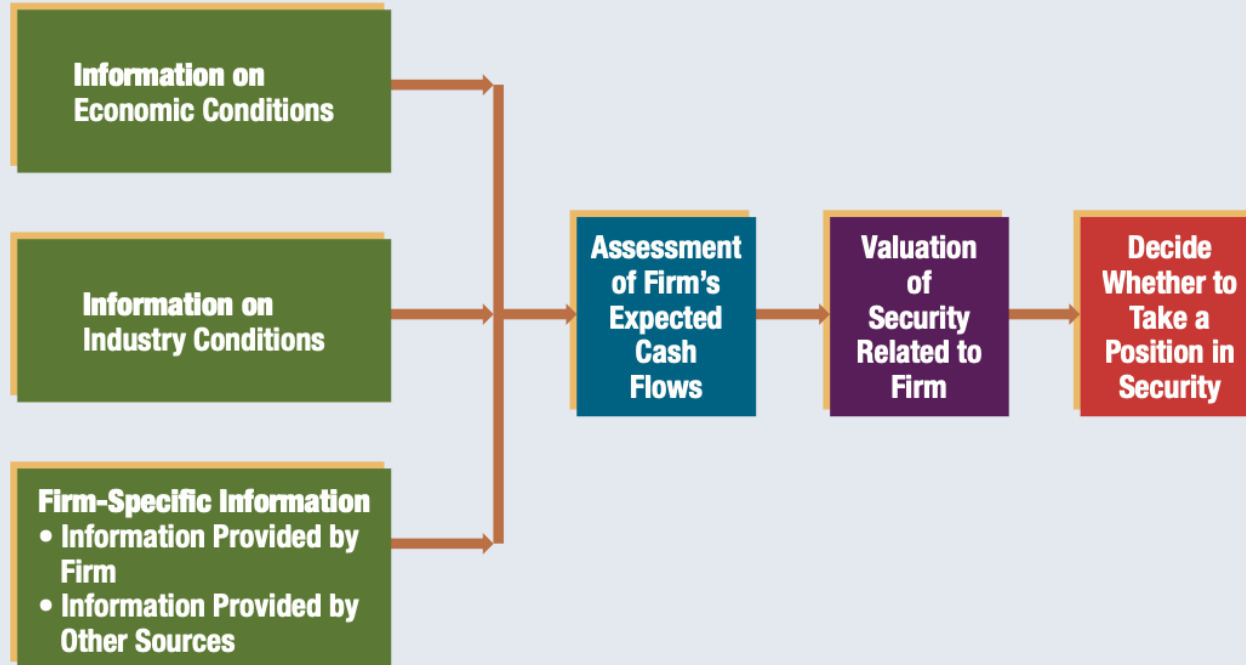


Exhibit 1.2 Use of Information to Make Investment Decisions





Efficient Markets

In an efficient market, securities are rationally priced based on available public information. Investors who recognize undervalued securities can capitalize on discrepancies, pushing prices toward their proper levels.



Information Accessibility

Easy access to security prices and transaction data.



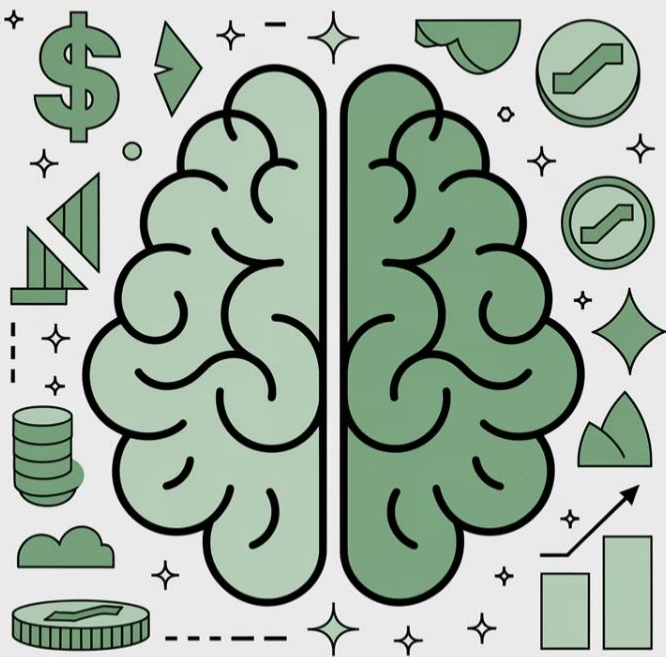
Online Trading

Expedites price adjustments to new information.



Price Correction

Investor actions push prices toward proper levels.



Behavioral Finance

Behavioral finance applies psychology to financial decision-making, offering explanations for market inefficiencies and abrupt price movements not justified by changes in fundamental information.

Investor Psychology

Explains mispricing due to psychological factors in decision-making.

Market Inefficiencies

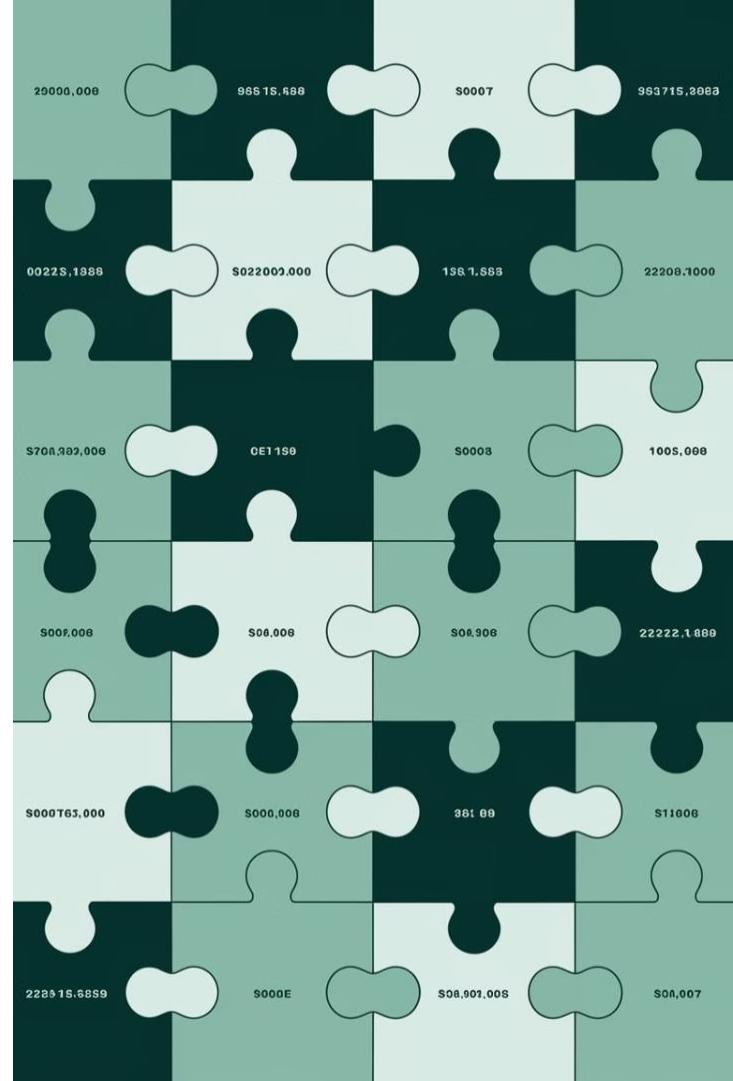
Provides reasons why markets may not always be efficient.

Price Bubbles

Explains formation and bursting of price bubbles in financial markets.

Uncertainty in Security Valuation

The valuation of securities is subject to uncertainty due to limited information and different interpretations by investors. This uncertainty contributes to the risk associated with investing in securities.



Securities Regulations on Financial Disclosure



1

Securities Act of 1933

Ensured complete disclosure of relevant financial information on publicly offered securities.

2

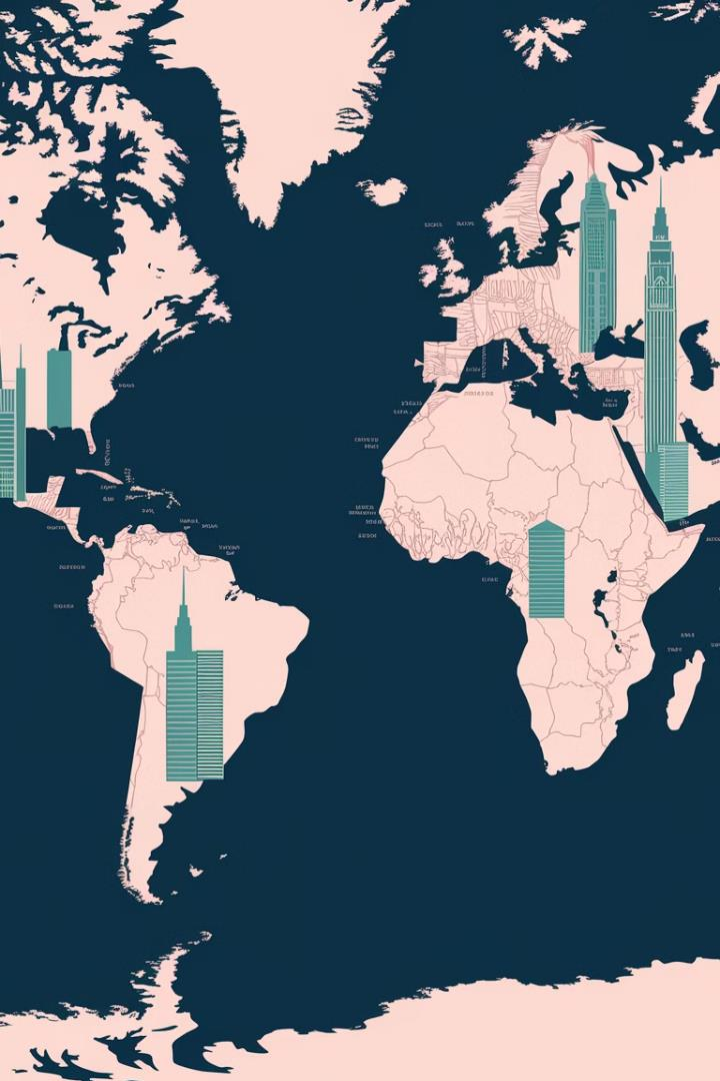
Securities Exchange Act of 1934

Extended disclosure requirements to secondary market issues and established the SEC.

3

Sarbanes-Oxley Act of 2002

Imposed restrictions to ensure proper auditing and oversight of financial reporting.



International Financial Markets

Financial markets are continuously developing worldwide, facilitating the transfer of securities between surplus and deficit units. The level of development and liquidity varies across countries.



Financial Disclosure

Countries with more disclosure tend to have more liquid markets.



Shareholder Rights

Vary by country, influencing investor participation.



Law Enforcement

Strict enforcement encourages market participation.

International Integration of Financial Markets

Benefits

Easier access to funding for governments and corporations.
Investors can benefit from global investment opportunities.

Risks

Financial problems in one country can adversely affect others due to market integration.

Role of Foreign Exchange Market

The foreign exchange market facilitates the exchange of currencies for international financial transactions. It plays a crucial role in enabling cross-border investments and trade.

Currency Conversion

Enables exchange of currencies
for international transactions.

Exchange Rates

Determined by supply and demand, subject to fluctuations.

Impact on Returns

Exchange rate changes affect returns on international investments.

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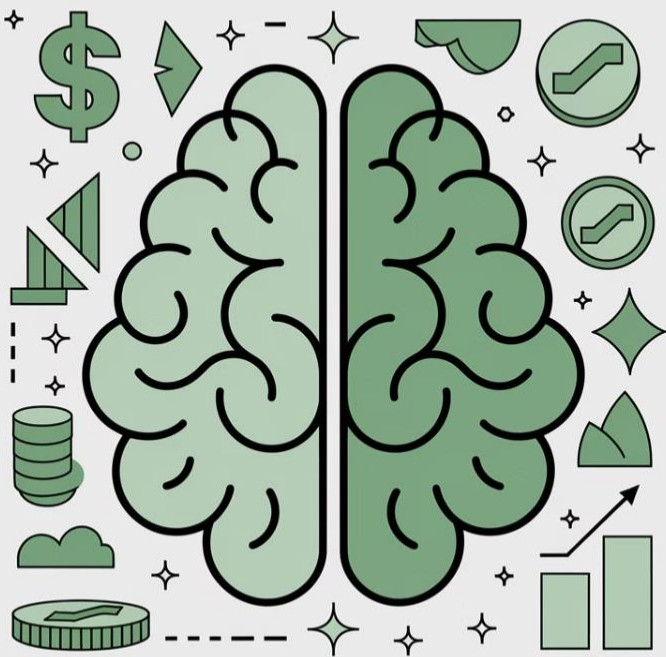
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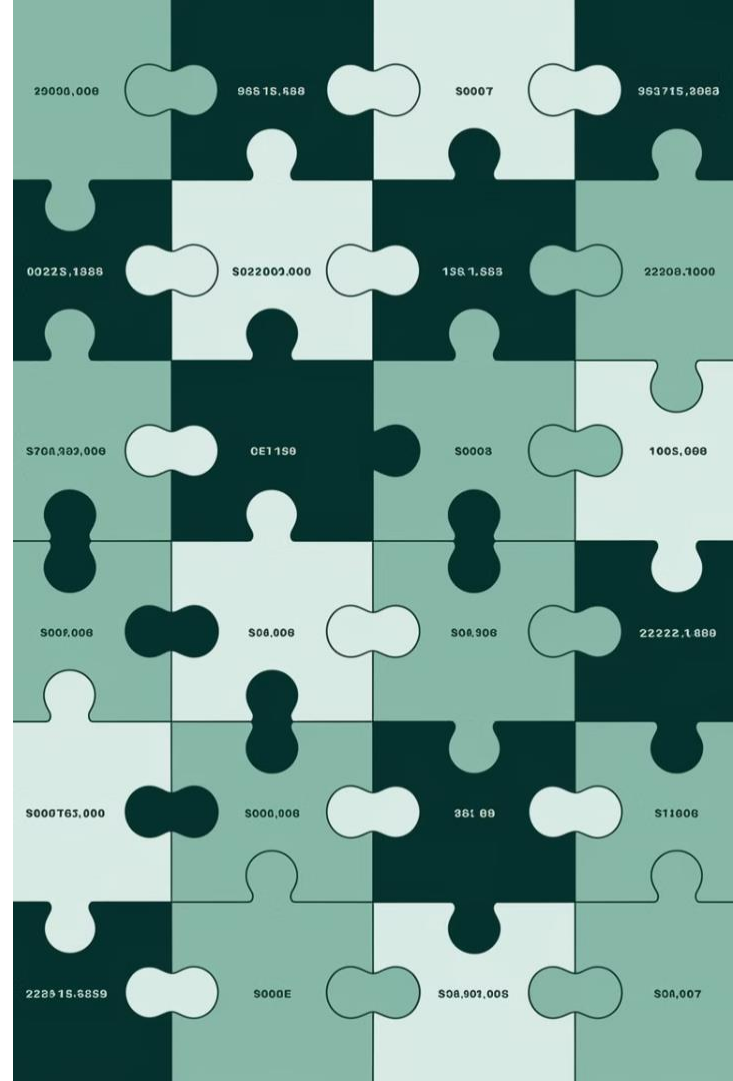
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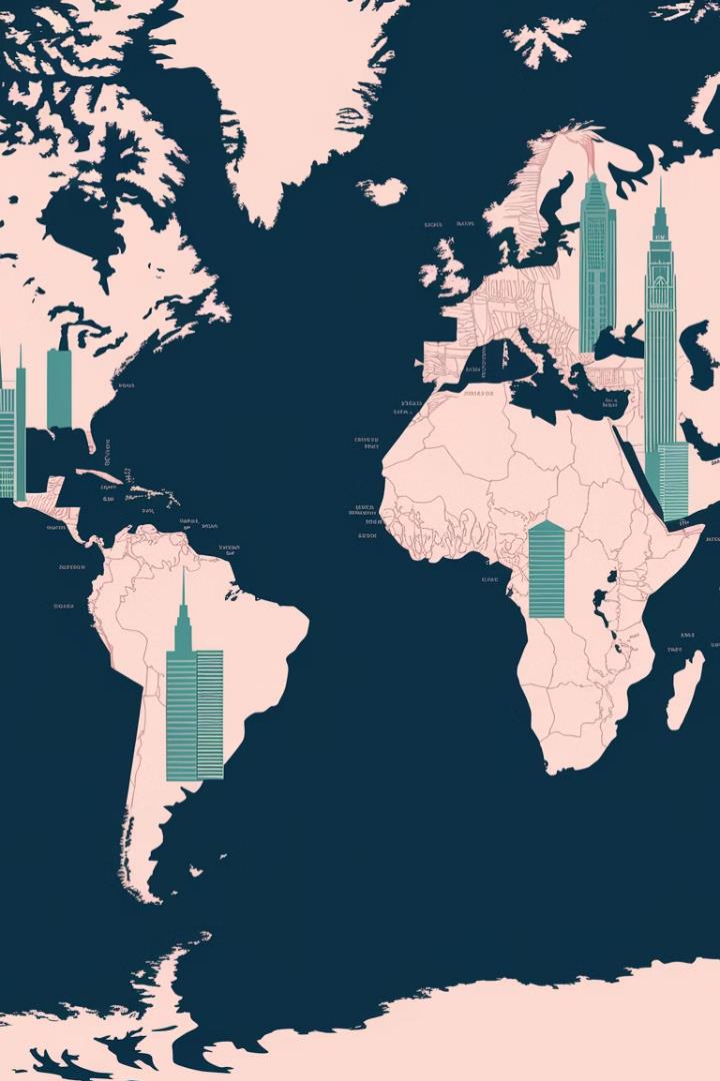
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03

Role of Financial Institutions

Role of Financial Institutions

Financial institutions play a crucial role in resolving market imperfections and facilitating the flow of funds between surplus and deficit units. They help reduce information and transaction costs in financial markets.



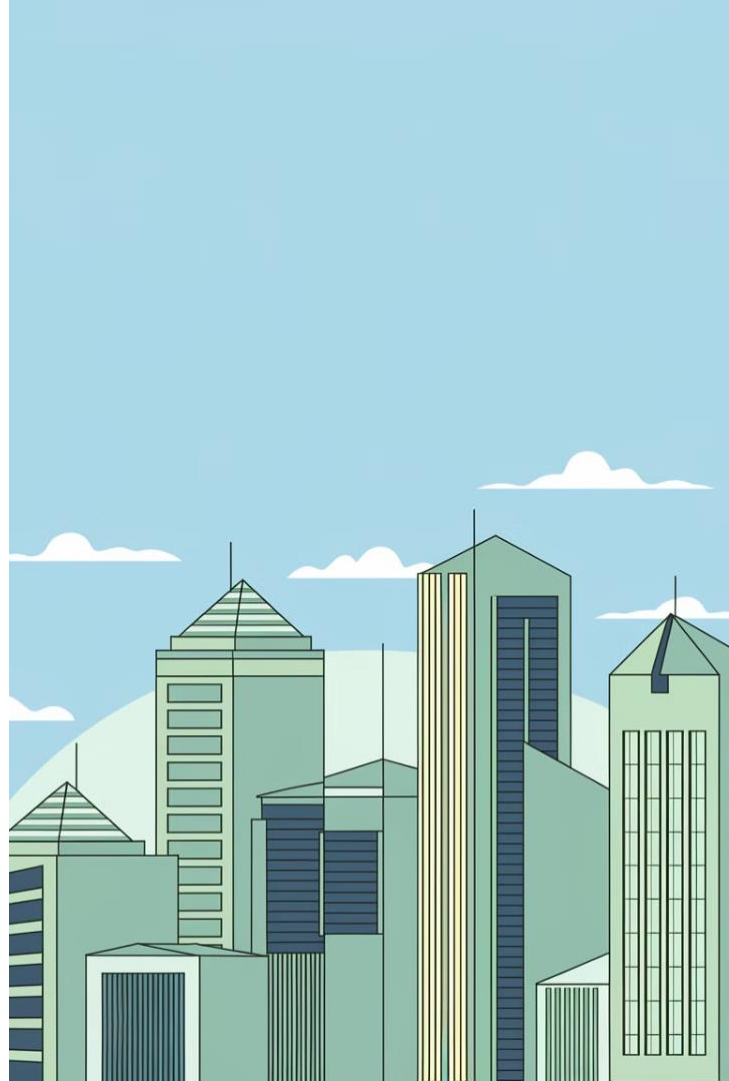
Depository Institutions

Accept deposits and provide credit through loans and securities purchases.



Nondepository Institutions

Generate funds from sources other than deposits but also facilitate financial intermediation.



Advantages of Depository Institutions



Deposit Flexibility

Offer accounts accommodating various liquidity needs.



Fund Repackaging

Provide loans of desired size and maturity.



Risk Acceptance

Willing to accept default risk on loans.



Credit Evaluation

Expertise in assessing borrower creditworthiness.



Diversification

Spread risk across numerous loans.



Commercial Banks

Commercial banks are the most dominant type of depository institution. They serve both surplus and deficit units through various deposit accounts and lending activities.



Deposit Accounts

Offer a wide variety of deposit options for surplus units.



Lending

Provide direct loans and purchase debt securities.



Risk Exposure

Subject to default risk on loans and investments.



Diverse Clientele

Serve households, businesses, and government agencies.



Federal Funds Market

The federal funds market facilitates short-term lending between depository institutions, allowing banks with excess funds to lend to banks needing funds.

1

Bank with Excess Funds

Lends surplus funds.

2

Federal Funds Market

Facilitates short-term lending.

3

Bank Needing Funds

Borrows to meet short-term needs.



Savings Institutions

Savings institutions, including savings and loan associations (S&Ls) and savings banks, are another type of depository institution. They focus primarily on residential mortgage lending.



Deposit Taking

Accept deposits from surplus units.



Mortgage Focus

Concentrate on residential mortgage loans.



Ownership Structure

Can be shareholder-owned or mutual (depositor-owned).

Credit Unions

Credit unions are nonprofit depository institutions that serve members who share a common bond. They tend to be smaller than other depository institutions due to their membership restrictions.

☐ Nonprofit Status

Operate as nonprofit enterprises.

☐ Membership

Restrict business to members with a common bond.

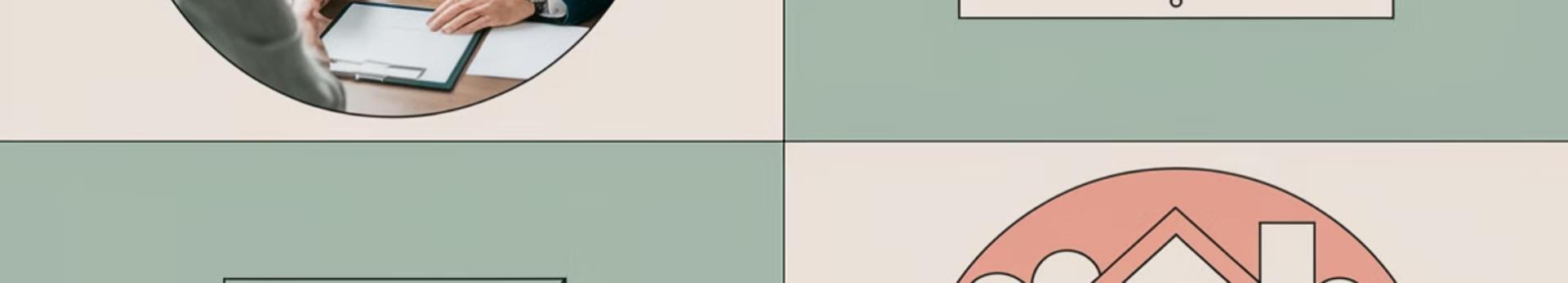
☐ Size

Generally smaller than other depository institutions.

☐ Lending Focus

Primarily provide loans to members.





Nondepository Financial Institutions

Nondepository institutions generate funds from sources other than deposits but play a major role in financial intermediation. They include various types of institutions serving different market segments.



Finance Companies

Obtain funds by issuing securities and lend to individuals and small businesses.



Mutual Funds

Sell shares to surplus units and invest in diversified portfolios of securities.



Securities Firms

Provide brokerage, dealer, and investment banking services.



Insurance Companies

Provide insurance policies and invest premiums in securities.



Finance Companies

Finance companies obtain funds by issuing securities and then lend those funds to individuals and small businesses. They focus on specific segments of the financial markets.



Funding Source

Issue securities to raise funds.



Lending Focus

Provide loans to individuals and small businesses.



Market Segment

Concentrate on specific financial market segments.



Mutual Funds

Mutual funds are the dominant nondepository financial institution in terms of total assets. They allow small savers to invest in diversified portfolios of securities with relatively small amounts of money.



Share Sales

Sell shares to surplus units.



Investment Strategy

Use funds to purchase diversified portfolios of securities.



Types

Include stock, bond, and money market mutual funds.



Accessibility

Allow small savers to access diversified investments.

Securities Firms: Brokerage and Dealer Services

Brokerage Services

Execute securities transactions between parties for a commission.
Commission rates vary based on transaction complexity and size.

Dealer Services

Make markets in specific securities by maintaining inventories.
Income is influenced by the performance of their security portfolio.

Securities Firms: Investment Banking

Securities firms often provide underwriting and advising services, commonly referred to as investment banking. These services play a crucial role in primary market activities and corporate restructuring.

Underwriting

Place newly issued securities for corporations and government agencies.

Advisory Services

Offer advice on mergers and corporate restructuring.

Capital Structure

Help execute changes in a client's capital structure.





Insurance Companies

Insurance companies provide policies that reduce financial burdens associated with various risks. They invest premium funds in securities, serving as important financial intermediaries.



Risk Mitigation

Offer policies covering death, illness, and property damage.



Premium Investment

Invest received premiums in stocks and bonds.



Financial Intermediation

Channel funds to deficit units through investments.



Performance Link

Overall performance tied to investment portfolio performance.



Pension Funds

Pension funds manage retirement contributions from employees and employers, investing these funds in various securities. They play a significant role in financing deficit units through their investments.



Contribution Management

Manage periodic contributions from employees and employers.



Investment Strategy

Invest in stocks, corporate bonds, and government bonds.



Long-term Focus

Manage funds until individuals withdraw for retirement.



Financial Intermediation

Channel retirement savings to finance deficit units.

Flow of Funds in Financial Markets

1

Surplus Units

Provide funds through deposits, security purchases.

2

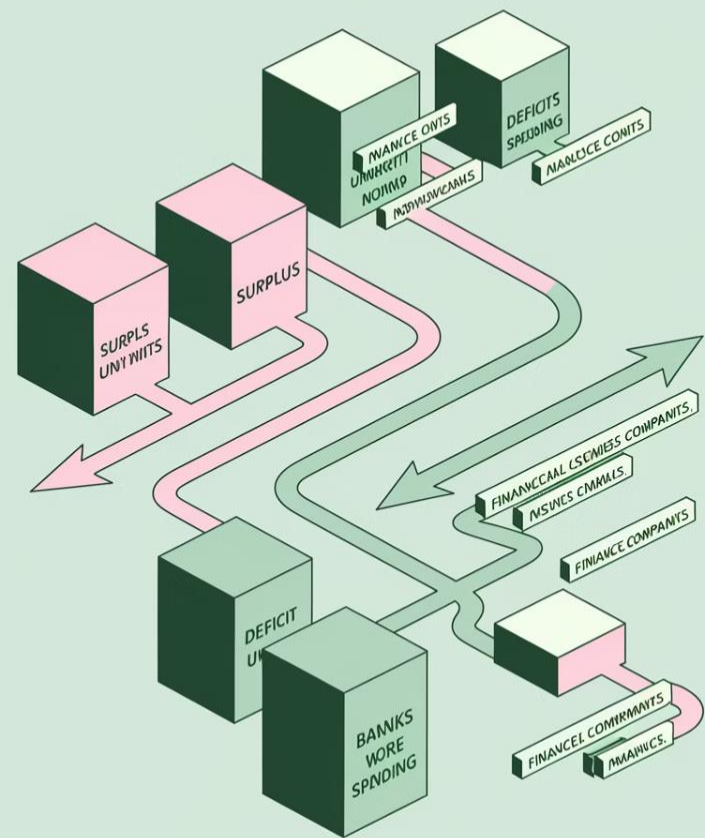
Financial Institutions

Transform and channel funds.

3

Deficit Units

Receive funds through loans, security issuance.



Institutional Investors

Financial institutions that manage large pools of funds for investment are often referred to as institutional investors. They play a significant role in financial markets due to their large-scale investments.



Commercial Banks



Insurance
Companies



Mutual Funds



Pension Funds





Institutional Role as Corporate Monitors

Large institutional investors often serve as monitors of publicly traded firms, influencing corporate governance and management decisions through their significant shareholdings.



Shareholder Activism

Publicly criticize poor management practices.



Corporate Influence

Can lead to corporate restructuring or management changes.



Shareholder Interests

Help ensure managers act in shareholders' best interests.

Relative Importance of Financial Institutions

Financial institutions collectively hold assets worth approximately \$70 trillion. Among these, commercial banks and mutual funds hold the largest share of assets.

\$17T

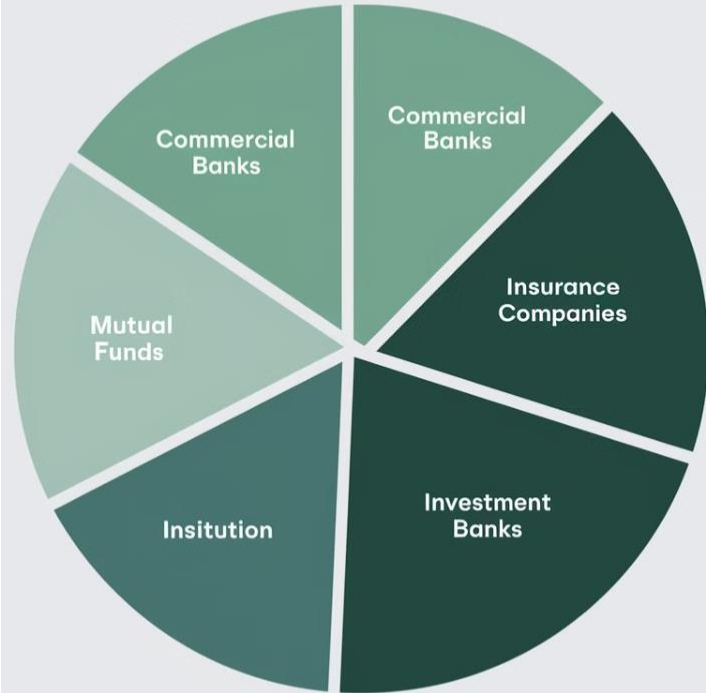
Commercial Banks

Largest among depository institutions

\$18T

Mutual Funds

Largest among nondepository institutions



Consolidation of Financial Institutions

In recent years, financial institutions have undergone consolidation to achieve economies of scale and scope. This trend has led to the formation of financial conglomerates offering a wide range of services.

Economies of Scale

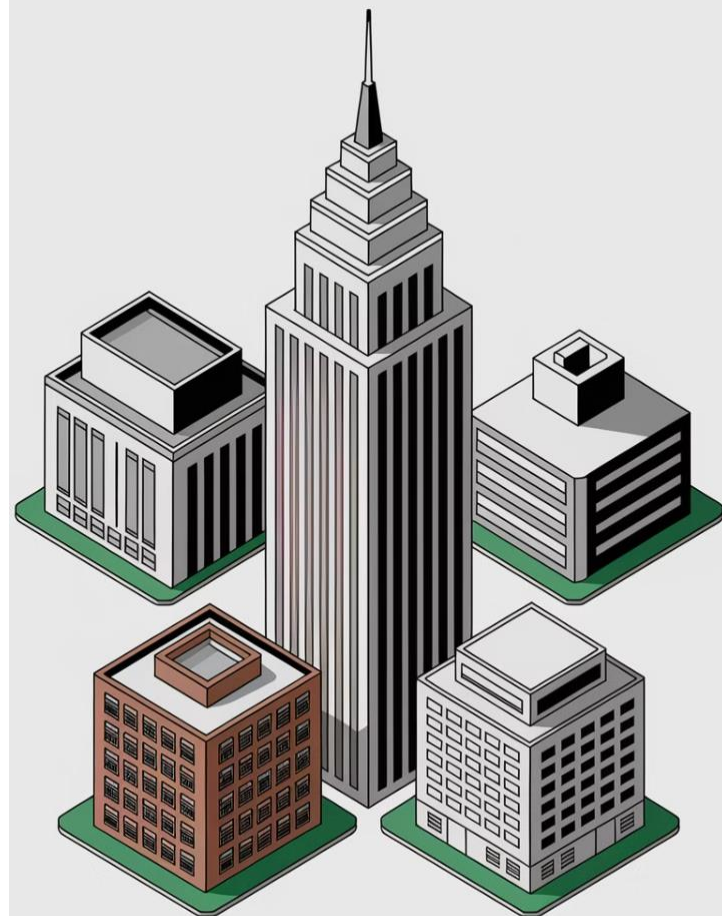
Reduce average cost of services through increased volume.

Economies of Scope

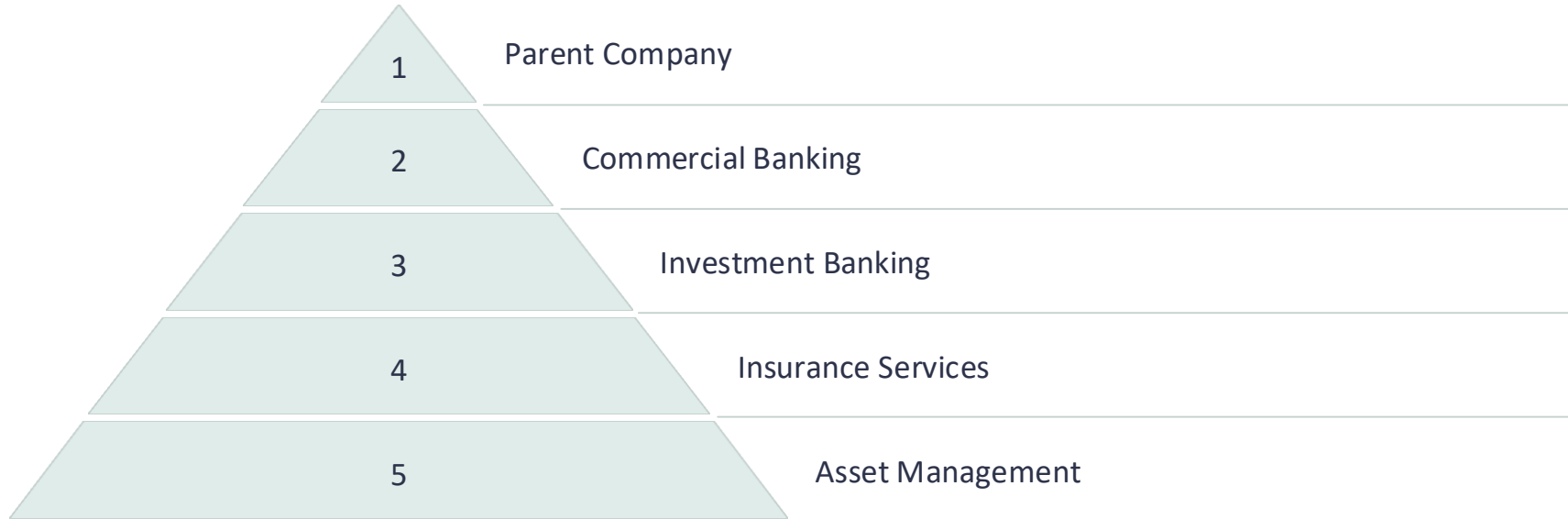
Capitalize on offering multiple financial services.

Increased Competition

Led to lower prices for financial services.



Structure of Financial Conglomerates



Financial conglomerates offer a diverse range of services under one umbrella, providing customers with comprehensive financial solutions.

Global Consolidation of Financial Institutions

Financial institutions have expanded internationally to capitalize on their expertise and gain access to new markets. This global consolidation has led to the creation of large, multinational financial entities.

 **Cross-Border Mergers**
Combine specialized skills and customer bases.

 **Service Expansion**
Offer more services to an international client base.

 **Market Access**
Gain entry to emerging markets and new opportunities.





Impact of Euro Adoption on Financial Institutions

The adoption of the euro by 19 European countries has increased business between these countries and created a more competitive environment for financial institutions in Europe.



Increased Competition

Financial institutions now face competition across the eurozone.



Cross-Border Business

Facilitated increased business between eurozone countries.



Strategic Adaptations

Institutions adapted strategies to compete in the unified market.



Expansion into Emerging Markets

Many financial institutions have sought to benefit from opportunities in emerging markets, expanding their services to capitalize on growth potential in these regions.

Underwriting Services

Securities firms offer services for newly privatized firms.

Loan Provision

Commercial banks expand to provide loans in emerging markets.

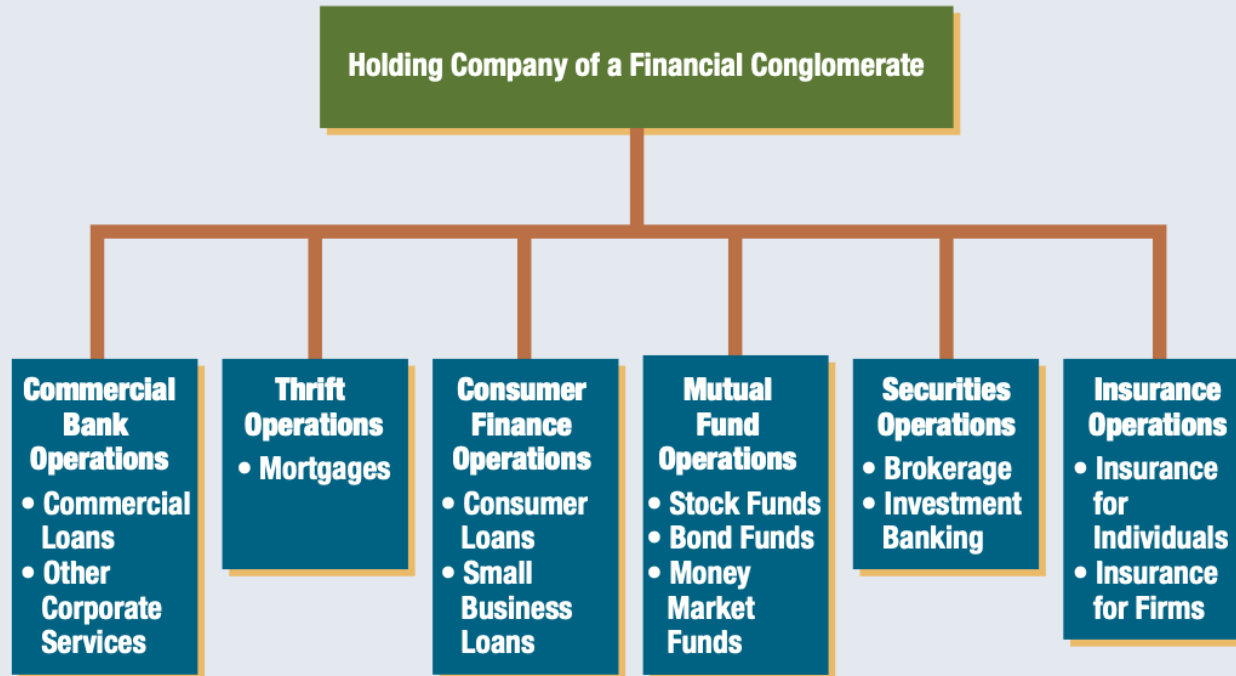
Risk Exposure

Expansion also exposes institutions to financial risks in these markets.

Exhibit 1.4 Summary of Institutional Sources and Uses of Funds

FINANCIAL INSTITUTIONS	MAIN SOURCES OF FUNDS	MAIN USES OF FUNDS
Commercial banks	Deposits from households, businesses, and government agencies	Purchases of government and corporate securities; loans to businesses and households
Savings institutions	Deposits from households, businesses, and government agencies	Purchases of government and corporate securities; mortgages and other loans to households; some loans to businesses
Credit unions	Deposits from credit union members	Loans to credit union members
Finance companies	Securities sold to households and businesses	Loans to households and businesses
Mutual funds	Shares sold to households, businesses, and government agencies	Purchases of long-term government and corporate securities
Money market funds	Shares sold to households, businesses, and government agencies	Purchases of short-term government and corporate securities
Insurance companies	Insurance premiums and earnings from investments	Purchases of long-term government and corporate securities
Pension funds	Employer/employee contributions	Purchases of long-term government and corporate securities

Exhibit 1.5 Organizational Structure of a Financial Conglomerate



04

Systemic Risk among Financial Institutions



Systemic Risk in Financial Institutions

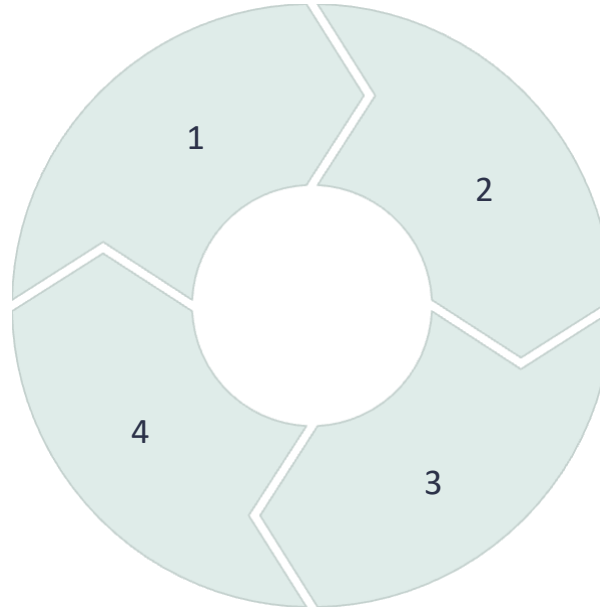
Systemic risk refers to the potential for financial problems to spread among institutions and across markets, potentially leading to a collapse of the financial system.

Similar Investments

Institutions invest in similar securities.

System-Wide Impact

Can lead to widespread financial instability.



Interconnected Obligations

Institutions rely on each other for payments.

Domino Effect

Failure of one institution can affect others.



Credit Crisis of 2008-2009: Impact on Financial Institutions

The credit crisis of 2008-2009 demonstrated how systemic risk can affect various types of financial institutions through multiple channels.



Mortgage Defaults

Affected institutions that purchased or invested in mortgages.



Mortgage-Backed Securities

Institutions holding these securities experienced losses.



Short-Term Debt Issues

Some institutions faced difficulties refinancing short-term debt.



Economic Downturn

Led to declines in equity values, affecting many institutions.



Regulatory Response to Financial Crises

In response to financial crises, regulators have implemented various measures to reduce systemic risk and improve the stability of financial institutions.

Capital Requirements

Increased minimum capital levels for banks.

Stress Testing

Regular assessments of banks' ability to withstand economic shocks.

Enhanced Oversight

Increased supervision of systemically important institutions.

Resolution Planning

Requirements for "living wills" to manage potential failures.

Future Challenges for Financial Institutions

Financial institutions face ongoing challenges in an evolving economic and technological landscape. Adapting to these changes while managing risks remains a key focus.

- ☐ **Technological Disruption**
Adapting to fintech innovations and digital banking.
- ☐ **Cybersecurity**
Protecting against increasingly sophisticated cyber threats.
- ☐ **Regulatory Compliance**
Navigating complex and evolving regulatory environments.
- ☐ **Climate Risk**
Incorporating climate-related risks into financial models and strategies.





Conclusion: The Evolving Role of Financial Markets and Institutions

Financial markets and institutions continue to play a crucial role in facilitating the flow of funds and supporting economic growth. As they adapt to new challenges and opportunities, their ability to efficiently allocate resources and manage risks remains fundamental to the global financial system.

- ☐ Ongoing Innovation
Continuous development of new financial products and services.
- ☐ Global Integration
Increasing interconnectedness of financial markets worldwide.
- ☐ Risk Management
Evolving strategies to address systemic and emerging risks.
- ☐ Economic Impact
Crucial role in supporting economic growth and stability.



Thank you